

south Gujarat, the petroleum association requested a reduction in the blend below 15% as they received complaints from consumers,” Vivek Sharma, principal analyst-powertrain at S&P Global Mobility, tells *Business Today*.

The Centre’s policy think-tank, NITI Aayog, had proposed in 2021 that blended fuels should be priced lower than normal petrol “to compensate for the reduction in calorific value” and improve pan-India acceptance. E20 is expected to be replaced by E27 after October 2026, with trials for the higher blend already underway.

TAKING STOCK

E27 will come with its own challenges such as availability of feedstock while the cultivable area remains the same. A shortage of feedstock means prices of ethanol-blended fuel will rise further, adding to OMCs’ costs.

In India, ethanol for blending with fuel mainly comes from a combination of sugarcane derivatives and cereal grains. Historically, molasses and sugarcane juice have been the primary raw materials, due to the country’s extensive sugarcane cultivation. Yet, figures from ESY 2023–24 show that cereal grains like maize and damaged food grains—including broken rice—now account for roughly 52.7% output, edging past sugarcane-based sources, which account for about 47.3%. Other feedstocks like damaged wheat, barley, millet, and agricultural waste have also been approved for ethanol production under the National Biofuel Policy, 2018.

Sugarcane is primarily grown in three states—Uttar Pradesh, Maharashtra, and Karnataka. The Centre reviews sugar availability for ethanol production after ensuring sufficient supply in the domestic market.



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DEEPAK BALANI

PRESIDENT, INDIAN SUGAR & BIO-ENERGY MANUFACTURERS ASSOCIATION (ISMA)



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On September 1, the food ministry issued a notification announcing lifting of the four million tonne cap on sugar diversion for ethanol production that was in place for the 2024-25 ESY. This not only aims to increase ethanol output but also has significant economic implications for farmers. By allowing more sugarcane to be diverted to ethanol production, demand for sugarcane will rise, leading to better prices and more stable income for growers. Indian Sugar and Bio-Energy Manufacturers Association (ISMA) Director General Deepak Balani said that, considering higher sugar production next year about 5 million tonnes of sugar can be diverted for ethanol in 2025-26.

According to Jain, the price of E20 cannot be lower than regular petrol, despite public perception that ethanol is cheaper. He explains that farmers receive ₹21-24 per kilogramme for maize (based on the government’s Minimum Support Price). Millers and distillers generally pay ₹2.5 more for transportation costs, supplier margins, and aggregator commissions.

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With the feedstock focus shifting toward grain-based ethanol—particularly from maize and rice—the rising demand for maize has led to a noticeable increase in its price and area under cultivation.

This year’s *kharif* season witnessed a nearly 15% increase in maize sowing, largely driven by the growing demand for ethanol. Around 90 new maize-based distilleries have come up across the country, and efforts are under way to develop high-starch maize vari-